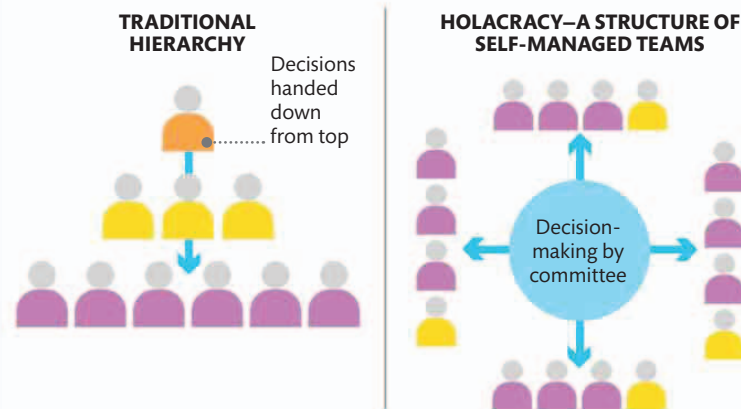




HOLACRACY—BREAKING BOUNDARIES

Staff are grouped into teams that set their own roles and goals and choose their own leaders. The idea is that if power and responsibility are shared, employees will give their very best. In 2014, the Las Vegas-based online clothing retailer Zappos adopted the model for its 1,500 staff. Holacracy is a trademarked term used by the company that invented this specific management system. It follows the same principle as a flat lattice, but takes the idea one step further by presenting a comprehensive management structure with clear processes for internal operations and governance.



200–300%
the productivity increase at US sausage-maker Johnsonville Foods, from 1982 to 1990, by moving to a team-based structure

TEAM-BASED: PROS AND CONS

Pros

- › Quick decision-making and rapid response to problems and challenges
- › Reduced overheads because there is no heavy management structure
- › Open communication because there is no fear of management reaction

Cons

- › If staff lack expertise, decisions may be flawed
- › Limited sharing between teams may affect business performance
- › Decisions by consensus harder to reach

